Net income

When a business reports how it has fared financially over the year, it provides investors with a figure for its net income. This is a good way to understand how much real profit a business is making.

How it works

If businesses were simply to report the money they had earned, this would give an unrealistic picture of the underlying health of the business. For example, a business could be earning plenty of revenue, but also incurring a lot of expenses via investment in new markets, premises, or machinery at the same time.

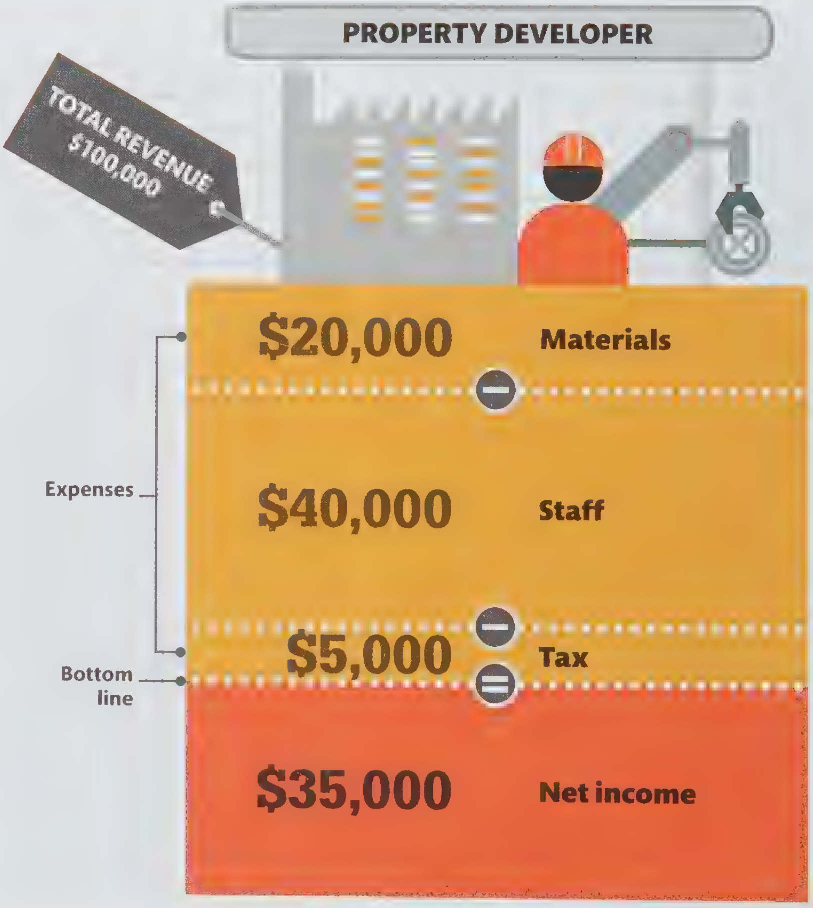
In order for investors to work out whether a company is financially healthy, therefore, they need to be able to see how it is managing costs, and whether it is spending money in the right way.

Net income is a good way to understand how much real profit a business is making, and whether that profit is likely to be sustained in the future. It is also a way of calculating earnings per share (*see "Need to know"*), which investors use to weigh up the value of a company and its shares.

Analyzing the balance of revenue earned against the cost of tax, investment, and other expenses is one of a number of ways to assess how a company is faring compared with its competitors, and if it has a sound financial basis going forward.

Calculating net income

For investors trying to decide whether a particular company represents a good investment opportunity, net income helps them to understand the way the business is run and is a guide to the real profit the company is making, rather than just the revenues it is generating. Revenue earned is the starting point, and the cost of tax, banking and interest charges, depreciation of assets, staff costs, and any other expenses involved in operating the business are deducted from this figure.



REVENUE – EXPENSES = NET INCOME